AML Detection Is a Rare-event Network Problem

0.1019%

Full-data laundering rate

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Do account graph features help after accounting for imbalance and leakage risk?

Why Accuracy Fails

99.8981%

accuracy from predicting every full-data transaction as legitimate

Recall = 0
F1 = 0

Main metrics

Recall
F1
PR-AUC
Alerts per 10,000

The base rate makes accuracy look excellent even when the detector finds nothing.

The Model Needs Account Context, Not Just Rows

Transaction-level features

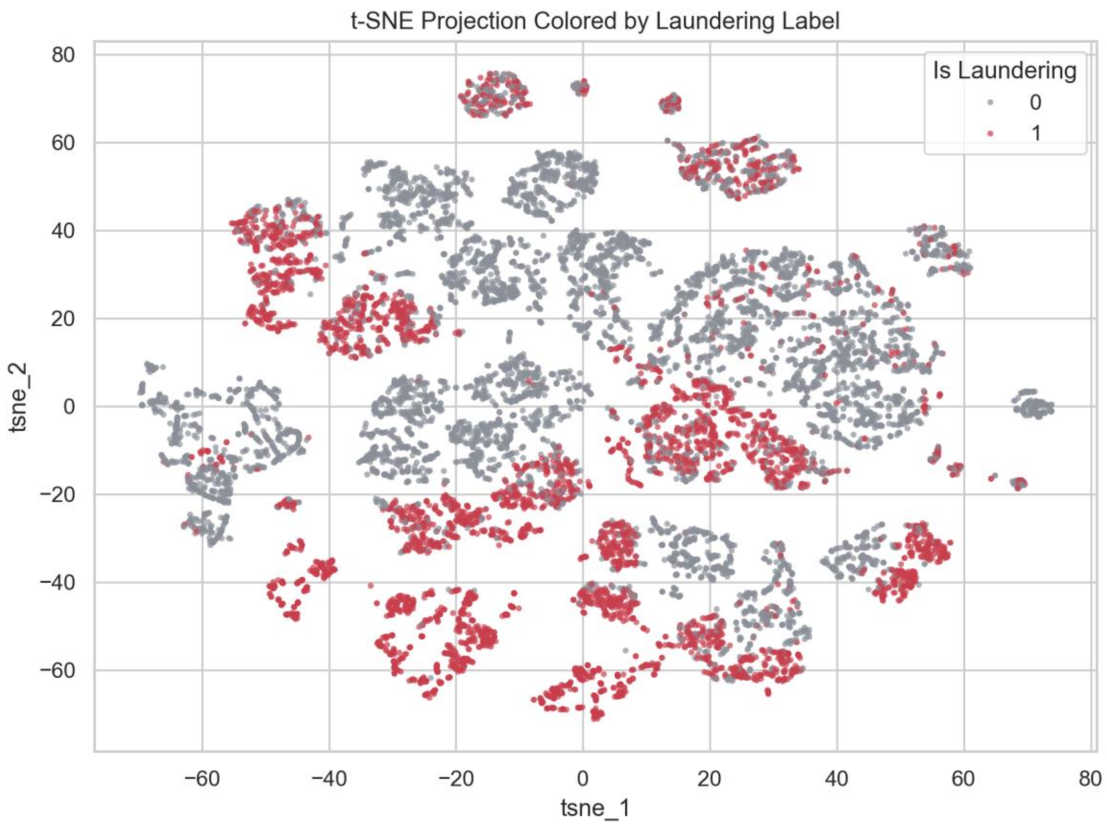
Amount and log amount
Currency and payment format
Hour and weekday
Same-bank and same-currency flags

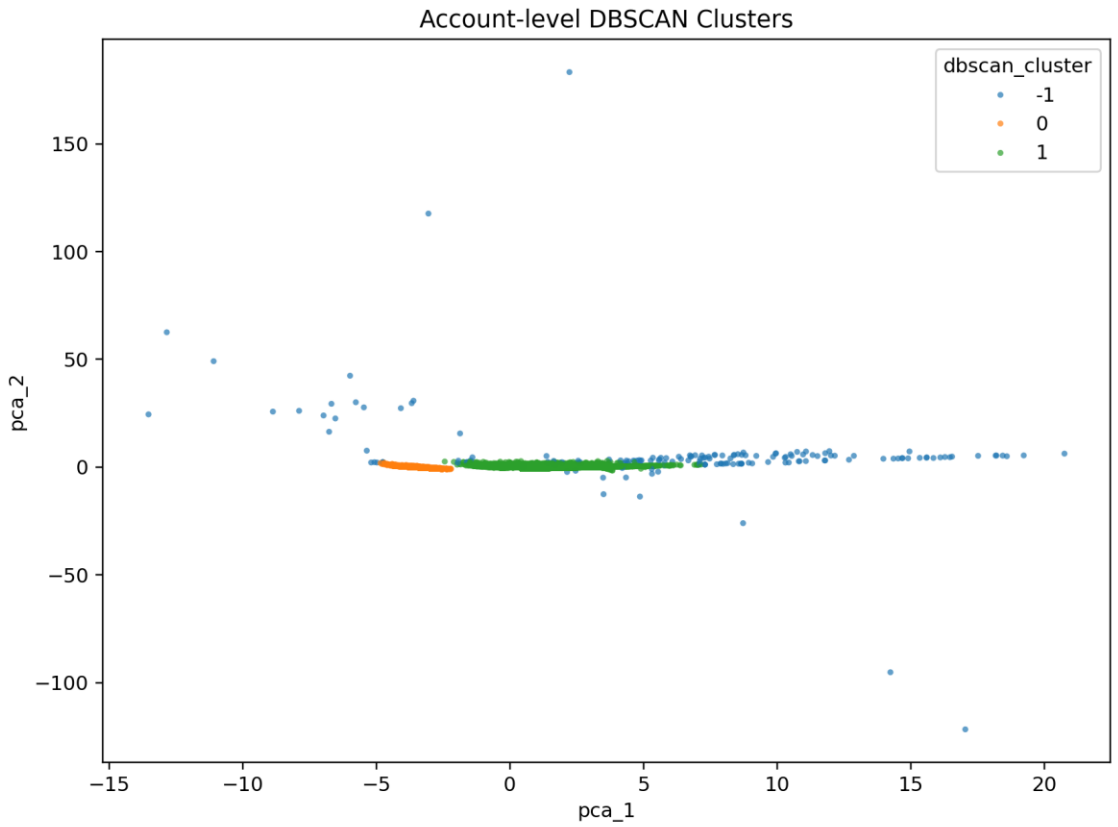
Account graph behavior

In-degree and out-degree
Unique counterparties
Total sent and received
PageRank
Fan-in, fan-out, scatter-gather proxies

The same transaction can look ordinary alone and suspicious in its account network.

Exploration Finds Local Risk Regions



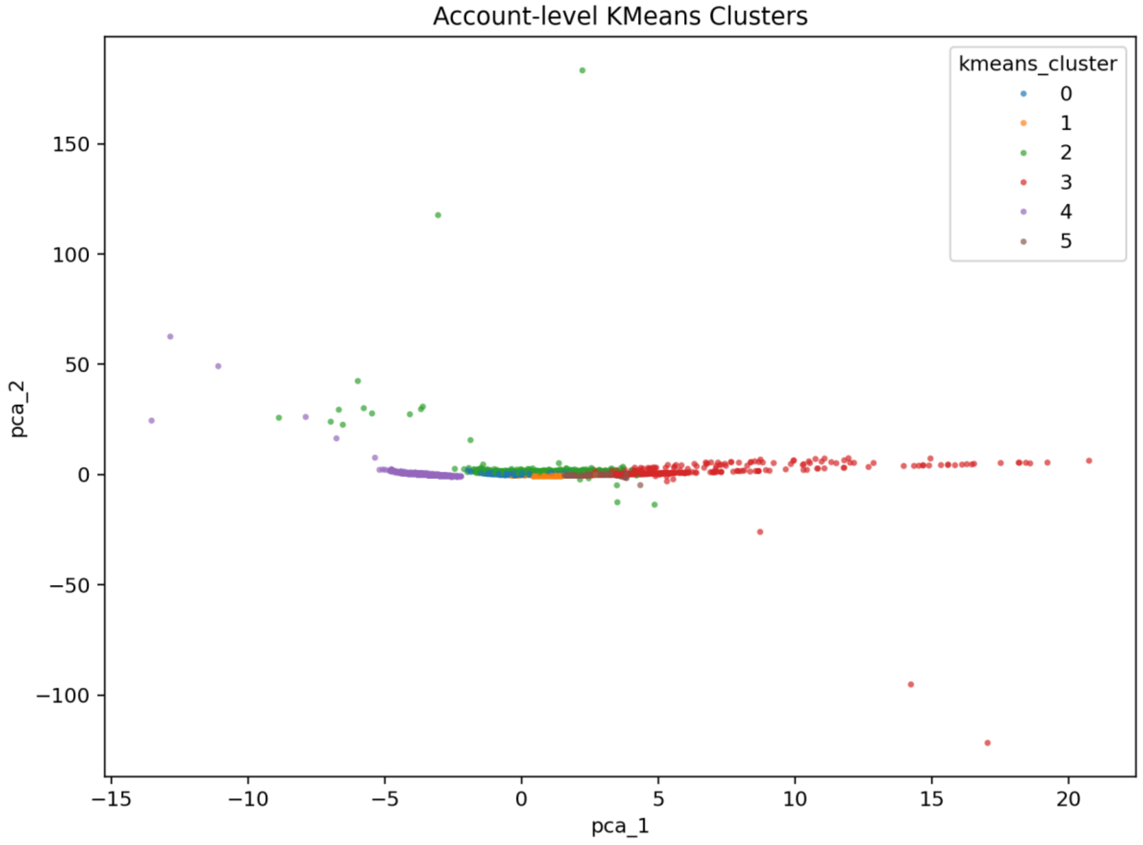


t-SNE: local neighborhoods with substantial overlap

DBSCAN: Silhouette 0.478 | NMI 0.001 | ARI -0.008

Clustering identifies investigation regions but cannot replace supervised prediction.

Clustering Quality Needs Cautious Interpretation



0.380

KMeans Silhouette

0.848

DBSCAN noise/outlier-group maximum risk

NMI and ARI remain near zero. Purity is inflated by class imbalance.

The high-risk DBSCAN noise/outlier group is a triage signal, while weak label agreement limits classification value.

Each Failure Changed the Next Experiment

01

Naive baseline

Accuracy cannot be the main AML metric; use recall, F1, ROC-AUC, and PR-AUC.

02

Linear baseline

Use it as an interpretable baseline, not as the final detector.

03

Single tree

A single tree is useful for diagnosis, but ensemble models are more stable.

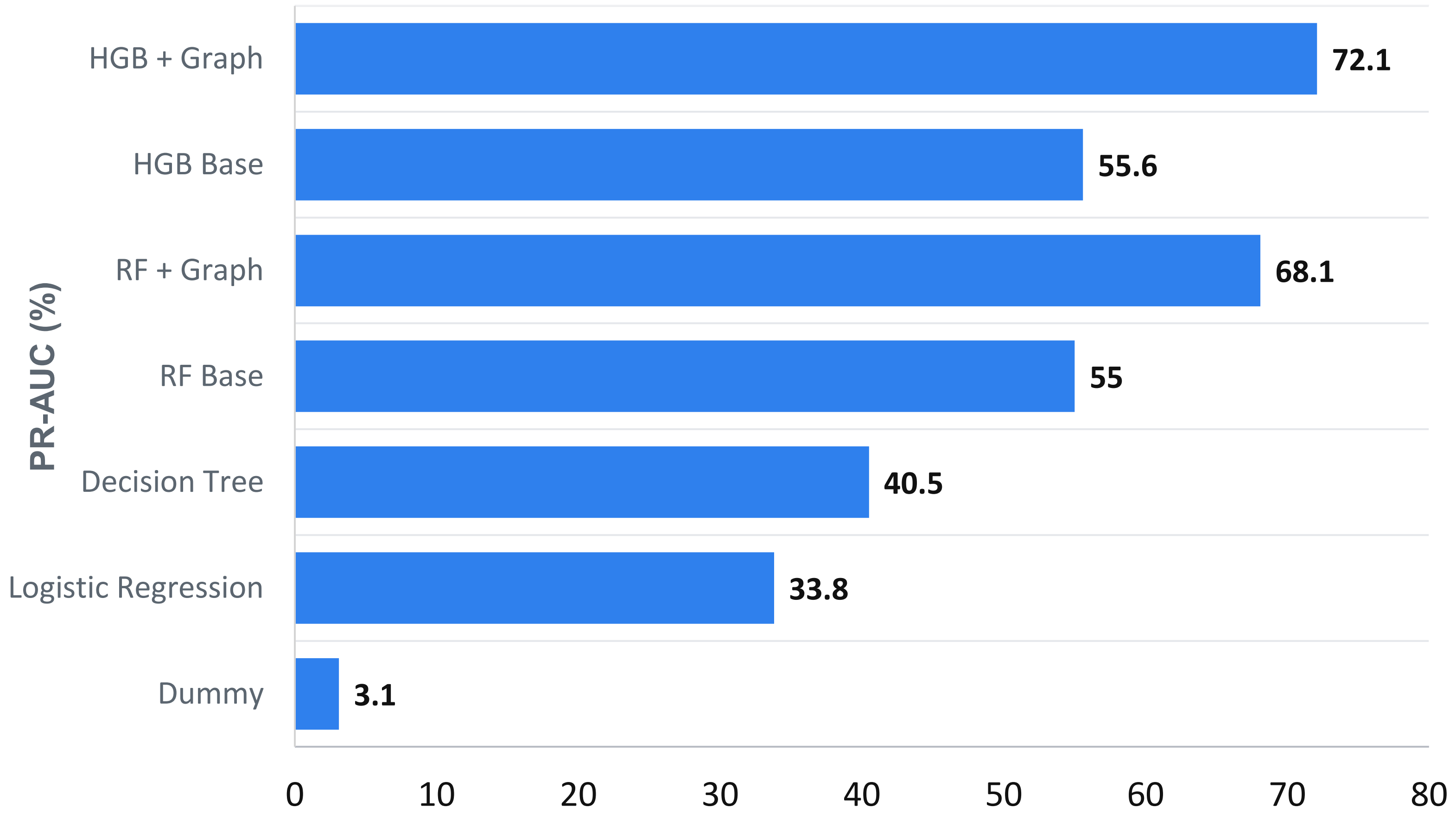
04

Feature ablation

Graph-aware features capture repeated counterparties, hubs, and flow patterns that improve minority-class detection.

The project evolved from an accuracy illusion to nonlinear models, graph features, and leakage auditing.

Sampled-test PR-AUC Favors Graph-enhanced Ensembles



0.556

HGB Base

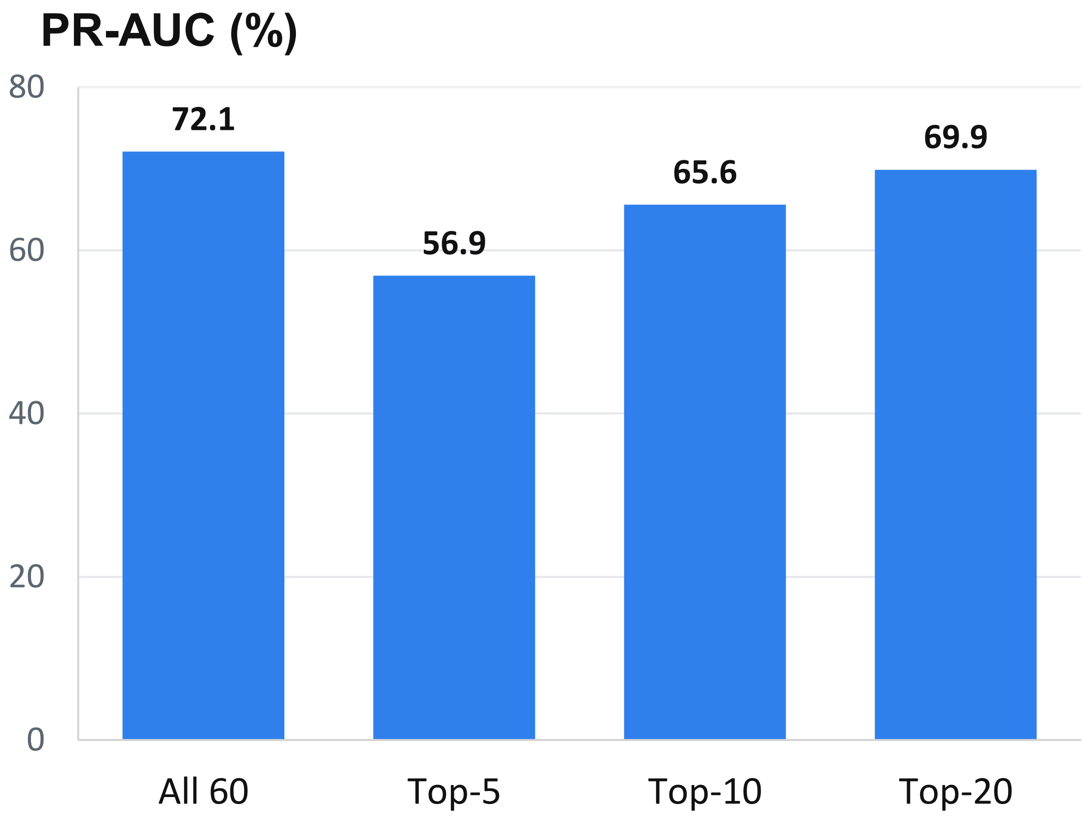
0.721

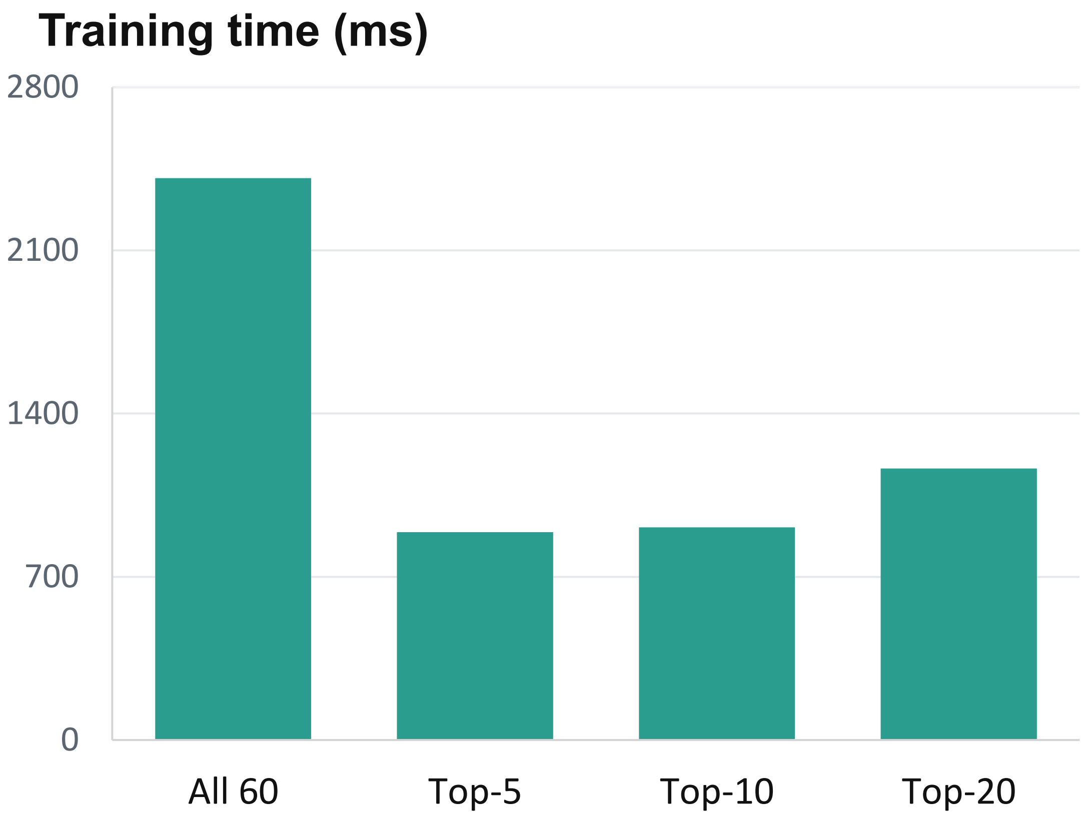
HGB + Graph

Random/transductive sampled split

Graph features add 0.166 PR-AUC to HGB in the random/transductive sampled evaluation.

Top-20 MI Retains Most Performance with Less Work

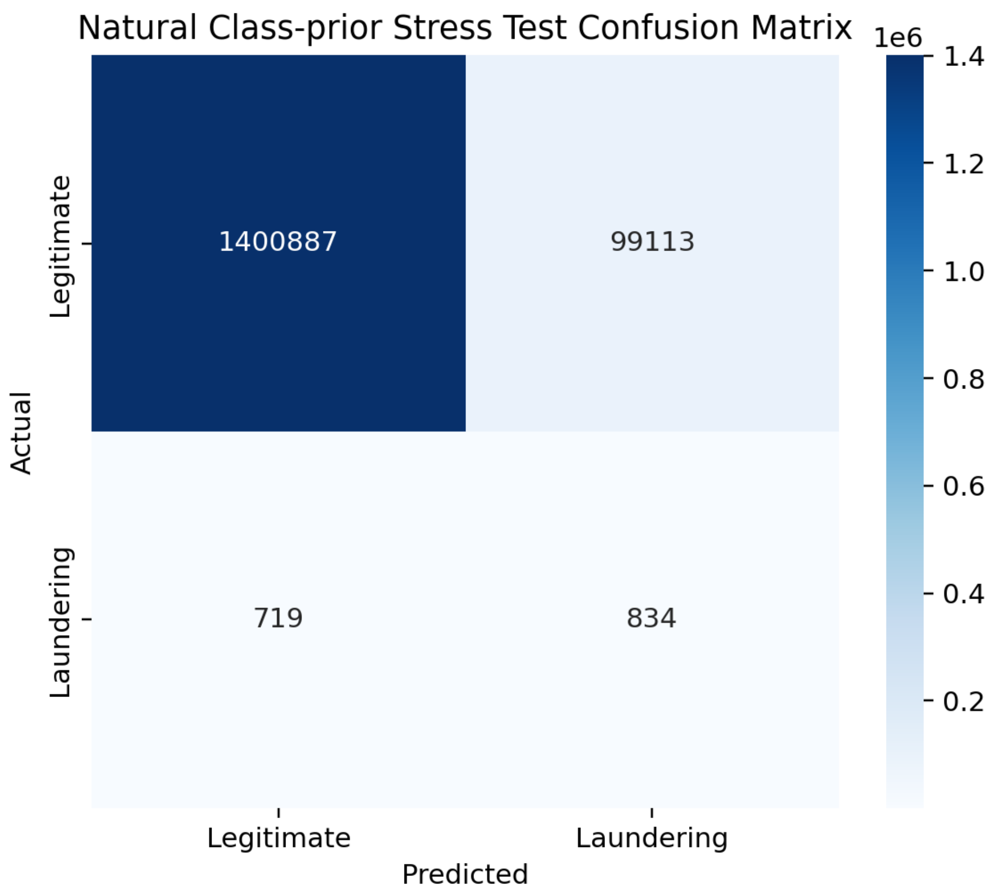




All 60: 2.41 s | Top-20: 1.16 s

Top-20 retains most sampled-test performance with 20 features and lower training time.

Natural Class Prior Turns Ranking into Alert Pressure



0.1034% Positive rate

0.83% Precision

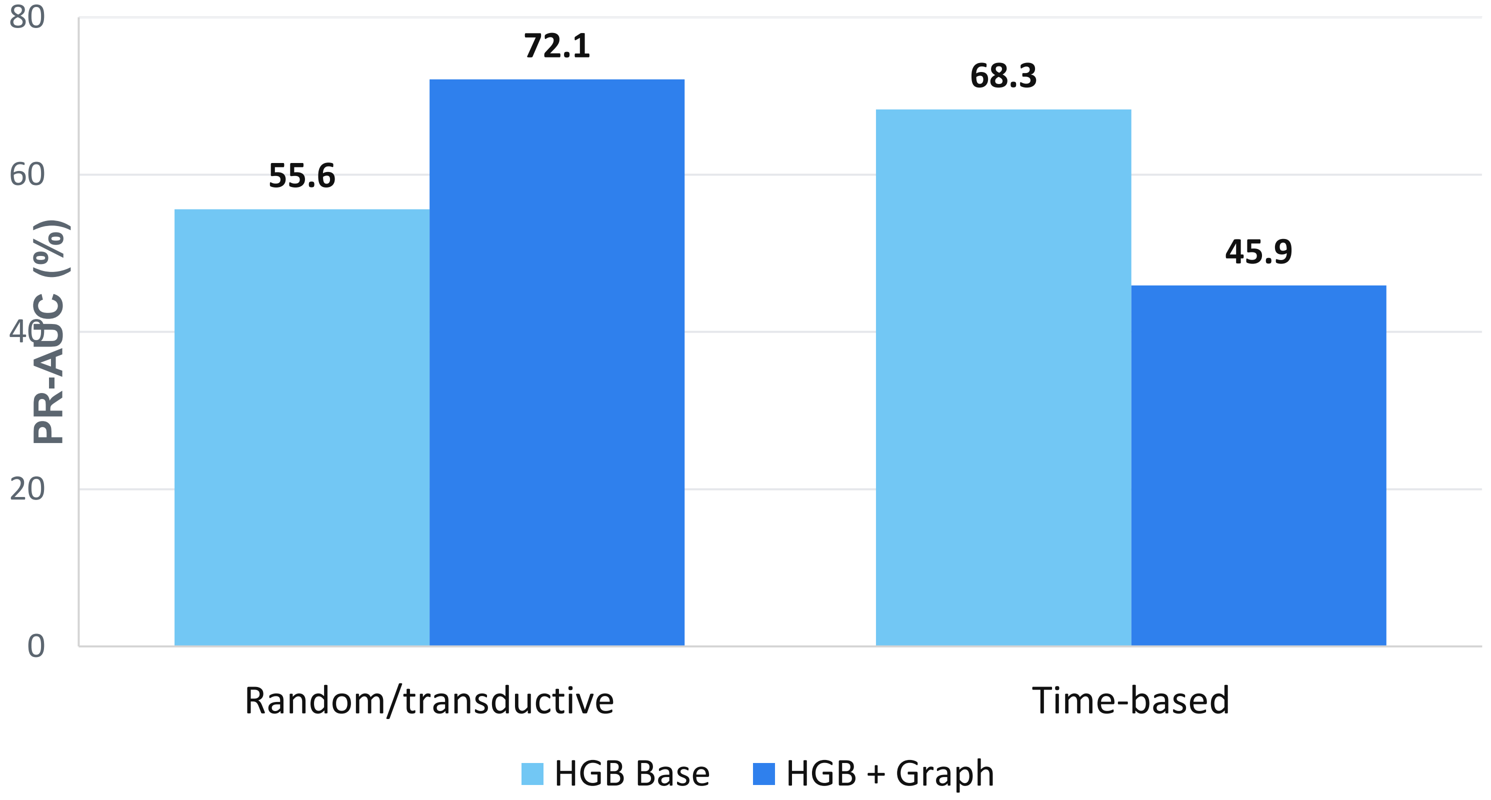
53.70% Recall

99,113 False positives

665.6 Alerts per 10,000

Good ranking performance does not automatically imply a manageable alert volume.

Leakage Audit Changes the Claim



Random split

Graph gain
+0.166 PR-AUC

Time-based audit

Graph change
-0.224 PR-AUC

Graph features help in the random split but reverse under train-history-only temporal evaluation.